

NOVATECH SOLUTIONS INC.

Office Supplies and Consumables Procurement and Reimbursement Management Policy

Administrative Management Policy Document

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Prepared by: Administration Department | **Reviewed by:** Administrative Director

Chapter I General Provisions

Article 1 — This Policy is enacted to strengthen the procurement management of office supplies and consumables, standardize procurement practices and reimbursement procedures, control office costs, and improve resource utilization efficiency, in accordance with the company's Financial Management Policy and relevant administrative management regulations.

Article 2 — This Policy applies to the procurement and reimbursement of daily office supplies and consumables for all departments of NovaTech Solutions Inc. "Office supplies" as used herein include various stationery, document management supplies, writing instruments, binding supplies, and other daily office consumables. "Office consumables" include printer cartridges, toner drums, ribbons, printing paper, copy paper, fax paper, and other consumables related to office equipment.

Article 3 — Procurement of office supplies and consumables shall follow the principles of "procurement based on actual needs, practicing economy, unified management, and standardized reimbursement." All departments shall prepare procurement plans rationally based on actual work requirements to avoid waste and overstocking.

Chapter II Procurement Scope and Standards

Article 4 — The following categories of office supplies and consumables may be included in the procurement and reimbursement scope:

- **(I) Writing Instruments:** Ballpoint pens, gel pens, pencils, markers, whiteboard markers, highlighters, and corresponding refills, inks, and other replacement consumables.
- **(II) Paper and Notebooks:** Copy paper (A4, A3, etc.), printing paper, sticky notes, letterhead, envelopes, notebooks, loose-leaf binders, memo pads, etc.
- **(III) Document Management:** File folders (including L-type folders, accordion folders, hanging folders, etc.), document pouches, archive boxes, filing cabinet accessories, label paper, divider tabs, transparent document sleeves, etc.
- **(IV) Binding Supplies:** Staplers and staples, hole punches, paper clips, binder clips, binding coils, binding covers, etc.
- **(V) Desktop Supplies:** Scissors, utility knives, rulers, tape dispensers and tape, calculators, desktop organizers, business card holders, etc.
- **(VI) Printing Consumables:** Printer cartridges (original and compatible), toner drums, ribbons, toner, printing paper (including specialty paper such as photo paper, label paper, etc.).
- **(VII) Cleaning Supplies:** Desktop cleaning wipes, screen cleaning solution, keyboard cleaning brushes, and other office equipment cleaning supplies.
- **(VIII) Other office supplies confirmed by the Administration Department:** Whiteboards, whiteboard erasers, projector screen accessories, power strips, and other auxiliary equipment and supplies required for daily office operations.

Article 5 — The following items are excluded from the procurement and reimbursement scope of this Policy:

1. Personal non-office items (such as personal water cups, tableware, decorations, etc.);
2. Luxury office supplies (such as premium pen gift sets, leather desk sets, and other items exceeding reasonable office needs);
3. Food, beverages, and kitchen supplies (such items are handled in accordance with the company's welfare policy);
4. Office furniture and large equipment (such as desks, office chairs, monitors, keyboards, mice, etc., which are handled in accordance with the fixed asset procurement policy);

5. Software licenses and digital service subscriptions (handled in accordance with the IT procurement policy).

Article 6 — The quarterly office supplies procurement budget for each department shall be determined by the Administration Department based on department headcount and historical usage. All departments shall conduct procurement within the approved budget. Procurement exceeding the budget requires approval from the Administrative Director.

Chapter III Procurement Process

Article 7 — Procurement of office supplies and consumables shall follow the procedures below:

1. **Demand Submission:** Each department shall designate an office supplies liaison responsible for consolidating the department's office supply needs. The liaison shall collect demand for the following month before the 25th of each month, complete the "Office Supplies Procurement Request Form," indicating the name, specifications, quantity, and purpose of required items, and submit it to the department head for review.
2. **Department Approval:** The department head shall review the reasonableness and necessity of the procurement request, confirm that the request falls within the department's quarterly budget, sign the request form, and submit it to the Administration Department.
3. **Unified Procurement:** After consolidating all department requests, the Administration Department shall prioritize centralized procurement from suppliers on the company's approved vendor list to obtain bulk pricing advantages. For specialty items not covered by the vendor list, the Administration Department may select other qualified suppliers but must retain price comparison records.
4. **Receipt and Warehousing:** Upon delivery, designated Administration Department personnel shall inspect the items, verify that the name, specifications, and quantity match the purchase order, and check that item quality meets requirements. After successful inspection, items shall be registered into inventory and distributed according to department requests.
5. **Reimbursement Application:** The procurement officer shall submit a reimbursement application through the company's financial reimbursement

system within ten business days after procurement completion, attaching the procurement invoice, purchase order, or approved request form.

Chapter IV Reimbursement Process

Article 8 — Reimbursement for office supplies and consumables procurement shall follow the procedures below:

- 1. Submit Reimbursement Application:** The procurement officer shall submit a reimbursement application through the company's financial reimbursement system within ten business days after procurement completion. The application must include: procurement date, vendor name, itemized list of purchased items (name, specifications, quantity, unit price, amount), purpose of procurement, corresponding department and cost center. Additionally, a photo or scanned copy of the VAT invoice or machine-printed invoice, along with the approved procurement request form, must be uploaded.
- 2. Department Head Review:** The department head shall review the reimbursement application, confirm that purchased items match approved requests and that amounts are reasonable, and upon approval submit it to the Administration Department for verification.
- 3. Administration Department Verification:** The Administration Department shall verify that purchased items are within the procurement plan, that invoice information is complete and compliant, and that warehousing registration is complete. Upon verification, the application is submitted to the Finance Department.
- 4. Finance Department Review and Payment:** The Finance Department shall conduct a final review of invoice authenticity and compliance, and upon confirmation complete payment within fifteen business days, remitting the reimbursement to the procurement officer's salary account or vendor account (depending on payment method).

Chapter V Multi-Person Procurement Reimbursement

Article 9 — The following reimbursement rules apply to office supply purchases involving multiple participants or multiple beneficiaries:

1. **Unified Procurement Reimbursement:** For joint procurement across multiple departments or centralized procurement by the Administration Department, the procurement officer may submit a single reimbursement application, attaching an "Item Distribution Detail Sheet" indicating the item list and amounts for each beneficiary department.
2. **Expense Allocation:** Cross-department procurement expenses shall be allocated to each department's cost center based on the actual distributed item amounts. The Administration Department shall maintain distribution records during warehousing and distribution to serve as the basis for expense allocation.
3. **Independent Reimbursement:** For office supplies procured independently by each department, the designated procurement officer of each department shall submit a separate reimbursement application, with the reimbursement amount recorded under the department's cost center.

Chapter VI Authenticity Documentation

Article 10 — Employees submitting reimbursement applications for office supplies and consumables procurement must provide the following supporting documents:

1. **VAT Invoice or Machine-Printed Invoice:** As the primary reimbursement voucher, the invoice must be made out to the company's legal full name (NovaTech Solutions Inc.), and the item description must match the actual purchased items. Generic descriptions (such as "a batch of office supplies") must be accompanied by a detailed item list.
2. **Procurement Request Approval:** A procurement request form signed and confirmed by the department head, proving that the procurement went through the necessary approval process.
3. **Purchase Order or Quotation:** For large-value purchases or custom items, a purchase order signed with the vendor or a quotation issued by the vendor must be provided.
4. **Warehousing Receipt Record:** An item warehousing receipt issued by the Administration Department, proving that purchased items have been received and inspected.

5. **Item Distribution Detail Sheet:** If cross-department distribution is involved, an item distribution detail sheet issued by the Administration Department must be provided.

Chapter VII Acceptable Invoice Requirements

Article 11 — The following types of invoices are acceptable for office supplies and consumables procurement:

1. **General VAT Invoice:** Issued by the vendor, must include: invoice code and number, date of issue, seller name and tax identification number, buyer name (must be the company's legal full name), goods or service name, specifications, unit, quantity, unit price, amount, tax rate, tax amount, total amount with tax, and seller's invoice stamp.
2. **Special VAT Invoice:** If the vendor is a general taxpayer and the company needs to deduct input tax, a special VAT invoice may be requested. In addition to all information on a general invoice, the special invoice must include the buyer's tax identification number, address and phone number, and bank account details.
3. **Machine-Printed Retail Receipt:** For incidental purchases from retail channels (such as office supply stores), a machine-printed retail receipt containing merchant name, date, item details, and amount.

Article 12 — The following invoices will not be accepted:

1. Handwritten receipts or informal IOUs;
2. Personal consumption invoices or invoices not made out to the company;
3. Invoices with incorrect payee name or incomplete information;
4. Invoices with generic item descriptions not accompanied by a detailed list;
5. Invoices issued more than six months prior (special circumstances require written explanation);
6. Obviously altered or forged invoices.

Chapter VIII Special Provisions

Article 13 — The following situations require additional approval and management:

1. **Bulk Procurement:** Single procurement exceeding Five Hundred Dollars (USD 500.00) requires approval from the Administrative Director; exceeding Two Thousand Dollars (USD 2,000.00) requires approval from company management.
2. **Fixed Asset Items:** Office equipment with a unit price exceeding Two Hundred Dollars (USD 200.00) (such as shredders, projectors, etc.) must be registered in the fixed asset management system and handled in accordance with the fixed asset depreciation policy.
3. **Special Item Procurement:** Procurement involving confidential materials, custom items, or imported items requires special approval from the Administration Department, with complete procurement records and import customs documentation retained (if applicable).

Chapter IX Supplementary Provisions

Article 14 — This Policy shall take effect on January 1, 2020. Previously issued relevant regulations on office supplies procurement management are hereby abolished.

Article 15 — This Policy shall be interpreted and revised by the Administration Department. Departments with questions or suggestions during implementation may provide feedback to the Administration Department.

Article 16 — All employees shall strictly comply with the provisions of this Policy, practice economy, and eliminate waste. Violations such as falsely reporting procurement quantities or misappropriating procured materials will be handled in accordance with relevant company policies.